TradeZone Performance Review (2023–2024)

To: Head of Growth & Head of Seller Operations

From: Data Analyst

Subject: TradeZone Performance Review (2023–2024)

1. Executive Summary

TradeZone experienced rapid growth between 2023 and 2024, driven primarily by increasing order volume and strong performance in high-value product categories. However, this growth is highly concentrated across specific customer segments, product categories, and sellers, exposing risks in diversification and operational consistency.

2. Key Findings

Finding 1: Revenue Growth is Strong but Highly Concentrated (Q4)

Revenue increased significantly across all quarters from 2023 to 2024, with Q4 showing the strongest growth, rising by approximately ₦213M (excluding cancelled and returned orders) compared to Q4 2023. This growth is primarily driven by a sharp increase in order volume rather than changes in average order value.

What this means: The platform is scaling effectively in terms of activity and transactions. However, the heavy concentration of growth in Q4 suggests potential seasonality or reliance on peak periods, which may pose planning risks if demand fluctuates.

Finding 2: Revenue is Dominated by High-Spending Customers (Q5)

High spenders account for about 99% of total revenue in 2024, with 527 customers contributing the majority of platform earnings. Medium and low spenders contribute only a minimal share of total revenue.

What this means: TradeZone's revenue model is heavily dependent on high-value customers. While this is beneficial for short-term revenue, it creates risk if these customers reduce activity or churn.

Finding 3: Product and Category Concentration in Electronics (Q2 & Q7)

All top 10 revenue-generating products belong to the Electronics category, and mid-rated products generate the highest total revenue, outperforming even highly rated products (on a per-product basis as well as in total).

What this means: The platform relies heavily on Electronics for revenue, and customer purchasing decisions are not driven solely by product ratings. Factors such as price, availability, and necessity likely play a larger role in driving sales.

3. Recommendations

Recommendation 1: Diversify Revenue Across Categories

Action: Increase promotion and visibility for non-electronics categories (e.g., Fashion, Food & Beverages, Home & Garden) through targeted campaigns and incentives.

Owner: Head of Growth

Expected Outcome (60–90 days): Increased contribution of non-electronics categories to total revenue and reduced dependency on a single product segment.

Recommendation 2: Improve Conversion in Low-Performing States

Action: Investigate onboarding experience, delivery reliability, and payment trust factors in Oyo and Kano, and introduce localized incentives or payment flexibility.

Owner: Head of Seller Operations

Expected Outcome (60–90 days): Improved 30-day conversion rates in underperforming regions and more balanced geographic growth.

4. Data Quality Notes

Three key data quality issues were identified during analysis:

- Missing product prices affected order item calculations and required imputation using category-level averages. This may have introduced minor inaccuracies in revenue estimates.
- Inconsistencies were observed between order totals and aggregated line-item values. These were not overwritten, as original order totals were retained as the source of truth and discrepancies were flagged for review.
- Revenue figures exclude orders with status Cancelled or Returned, which made up about 27% of 2024 gross order value. Including them would overstate realised revenue.

Impact: If imputed values differ significantly from actual prices, revenue-related insights may be slightly overstated or understated for affected products.

5. What the Data Cannot Tell Us

The dataset does not provide information on customer behaviours beyond transactions, such as browsing activity, abandoned carts, or reasons for non-conversion.

Additional data needed: User interaction data (e.g., session activity, cart abandonment, clickstream data) would help explain why customers fail to convert and improve decision-making around user experience and marketing strategy.